LEGAL & REGULATORY CONSTRAINTS

LEGAL CONSTRAINTS

Legal constraints relate to laws made by government or government agencies. These laws act as constraints that limit us from freely buying and selling assets. For instance, India introduced the Land Acquisition Bill, which allowed the government to buy land for development purposes. This law forced many people to sell off their land which they otherwise might not have. This is one of the many examples of legal constraint. Many such laws might affect us.

REGULATORY CONSTRAINTS

Regulatory constraints are similar to legal factors. However, they mainly relate to regulatory bodies rather than the Government and its agencies. Regulatory bodies, like the Reserve Bank of India (RBI) for the Banking sector, the Securities Exchange Board of India (SEBI) for the capital markets and so on create rules to regulate the markets.

All these constraints have to be considered while creating our Financial Plan. However, a large number of laws and regulations that apply to the open market, are taken care of by the financial companies itself that create financial products. So, an individual need not be concerned with the general laws and regulations. What needs special emphasis are the laws and regulations that specifically apply to us as individuals or a small section of people who are under conditions similar to us. If any such laws or regulations are present, we will list them in the canvas.